TRADE AGREEMENT BETWEEN THE GOVERNMENT OF THE REPUBLIC OF INDIA AND THE GOVERNMENT OF THE REPUBLIC OF ARGENTINA

The Government of the Republic of India and

The Government of the Republic of Argentina,

REASSERTING the traditional ties of friendship between their people and motivated by the common desire of strengthening the commercial relationship between the two countries on the basis of reciprocity and mutual benefit,

TAKING DUE NOTE of the newly emerging international trade policy with regard to a closer economic cooperation among the developing countries and aiming at an efficient utilisation of their resources and at accelerating their economic growth rate; and

TAKING INTO ACCOUNT their respective international rights and obligations, including their rights and obligations as parties to the General Agreement on Customs Tariffs and Trade,

HAVE AGREED to the following.

ARTICLE-I

In accordance with the laws and regulations in force in their respective countries, the Contracting Parties shall grant the maximum facilities that are possible and take appropriate measures for the exchange of different kinds of goods between the two countries, originating and coming therefrom.

For this purpose, the two Governments shall exchange, on a regular basis, corresponding lists of goods available for export to the other country, which lists shall be given broad publicity. List "A" annexed to the Agreement consists

of exportable goods of the Republic of India; list "B" annexed thereto consists of exportable goods of the Republic of Argentina. These lists have an enunciative nature; the reciprocal facilities and conditions agreed upon under this Agreement shall therefore be applied to any other commodities that might be exchanged between the two countries, in full accordance with the legislation in force in each of these countries.

The goods to be exchanged between the two countries shall be oriented to meeting the internal necessities of the buyer country, unless the pertinent authorities of the Contracting Parties otherwise agree.

The Contracting Parties shall strive to use the means at their disposal so that the proportion of semi-manufactured and manufactured goods which form the trade, reaches the highest level possible utilising the means available to them.

ARTICLE-II

The exchange of commodities between the two countries shall be effected in accordance with the rights acquired and obligations contracted by means of multilateral treaties or agreements subscribed to by both the countries.

ARTICLE-III

All payments and charges in connection with commercial transactions between the two countries shall be made in free convertible currency acceptable to both the Governments, in accordance with the foreign exchange regulations in force in their respective countries from time to time.

ARTICLE-IV

Each Contracting Party shall grant, for the imported goods originating from the country and for those exported to the other country, the most favourable conditions that have been granted to commodities coming from or going to any other country or group of countries, in terms of customs tariffs, any sort of duties, taxes or fiscal levies, as well as with regard to administrative formalities, licence granting or exemptions, prohibitions and restrictions on import and export of commodities transference or payment of moneys, regulation of circulations, transportation and distribution of commodities.

ARTICLE-V

The provisions of Article IV shall not be applicable to the following:

(a) Advantages granted or to be granted by either Contracting Party to its neighbouring countries;

(b) Preferences or advantages granted by one of the Contracting Parties to some other country before the date on which this Agreement becomes effective, or in replacement of such preferences or advantages as existed prior to the 10th April, 1947;

(c) Preference or advantages granted within the contract of any scheme for trade development and economic cooperation among developing countries in which developing countries can participate and in which one of the two Governments is or might in future be included; and

(d) Advantages granted or to be granted in future by a Contracting Party to third countries as a consequence of its participation in customs unions, free trade zones and/or regional or sub-regional integration agreements.

ARTICLE-VI

Exports of commodities from one of the Contracting Parties to the other shall be subject to the general regulations in force in the exporting country at the time the export is effected. Imports by each contracting party of products coming from the other shall be subject to the general regulations in force in the importing country at the time goods are despatched to the market.

ARTICLE-VII

With a view to promoting the objectives of this Agreement, each Government shall endeavour to facilitate as much as possible, in accordance with the rules and regulations, usages and other administrative formalities of its country the following:

(a) The exchange of commercial or technical representatives, teams or delegations, between the two countries;

(b) The holding, in its own country, of Trade Fairs, Industrial Exhibitions or other activities aiming at promoting trade by companies and organisations of the other country; and

(c) The import from the other country of articles required for display in fairs, exhibitions or similar events, as well as of samples of goods for publicity purposes.

ARTICLE-VIII

The two Governments shall exchange information on their development programmes in order to identify the appropriate fields where industrial and commercial cooperation can be efficiently organised for mutual benefit.

ARTICLE-IX

Each Contracting Party will grant to the other Party's ships, while in its ports, the most favourable treatment permitted by its laws and regulations.

The provisions of the preceding paragraph shall not apply to the activities legally reserved by each country for its own nationals.

The Contracting Parties agree to cooperate for the development of closer ties in the field of maritime transport of cargoes generated by bilateral trade and for the conclusion of favourable agreements for the development of maritime transport between the two countries.

ARTICLE-X

The Government of the Republic of India reserves the right of insuring through Indian insurance companies all commodities exported to the Republic of Argentina, as well as goods of Argentina origin imported into the Republic of India, in all cases where the transport risks are to be borne by the supplier or by the buyer, as the case may be.

The Government of the Republic of Argentina holds the right of insuring through Argentina insurance companies of all commodities exported to India, as well as goods of Indian origin imported into the Republic of Argentina, in all cases where the transport risks are to be borne by the supplier or by the buyer, as the case may be.

ARTICLE-XI

In order to facilitate the implementation of this Agreement, a Joint Committee consisting of representatives appointed by the two Governments is hereby constituted. The Joint Committee shall meet yearly or as many times as is found desirable on mutual agreement, on an alternate basis in India and Argentina.

Within the context of this Agreement, the Joint Committee shall inter alia carry out the following activities:

(a) Analyse and study the implementation of the provisions of the Agreement;

(b) Review measures with a view to solve problems that might arise in the implementation of the Agreement or in the trade exchange between the two countries;

(c) Study proposals made by either of the two Governments within the context of the Agreement, aiming at broadening and diversifying the trade exchange between the two countries; and

(d) Identifying the proper fields for industrial cooperation, particularly those which offer the possibilities of developing trade exchanges for mutual benefit.

ARTICLE-XII

After the expiry of this Agreement, its provisions shall continue to be applied to all commercial transactions settled before its expiry.

ARTICLE-XIII

This Agreement shall enter into force provisionally upon signature and in a definitive manner upon exchange of Instruments of Ratification between the Contracting Parties. It shall remain in force for an initial period of three years from the date of its entry into force. Thereafter, it shall be automatically renewed for successive periods of one year each time, unless one of the Contracting Parties gives a written notice to the other about its intention to terminate the Agreement, three months in advance of the expiry of any of the above periods of its validity.

Done at Buenos Aires on the 28th of July, 1981

in six originals, two each in Hindi, Spanish and English languages, all the texts being equally authentic, except in case of doubt when the English text shall prevail.

For the Government of the Republic of Argentina

For the Government of the Republic of India

LIST "A"

LIST OF EXPORTABLE ITEMS FROM INDIA TO ARGENTINA

Engineering Goods

Railway equipment and rolling stock
Rails
Railway coaches, wagons and components
Bars and rods (excl. wire rods) other than of high carbon or alloy steel
Iron and steel castings
Transformers
Transmission towers, cables and insulators
Angles, shapes and section of steel
Textile machinery
Cement machinery
Sugar mill machinery
Mining machinery and projects
Insulated cables, cords and flexes
Air or gas compressors (incl. rotar and tubes compressors) and free piston generators for gas turbines
Centrifugal pumps
Hand tools, small tools and cutting tools
Machine tools
Household sewing machines
Bicycles and parts
Ball and roller bearings
Electrical machinery
Galvanised wire
Bulk handling and mining equipment
Electric fans and parts
Automobile and Auto parts
Steel pipes and tubes
M.S.pipes and fittings
Electronic components and parts
Diesel engines and parts
Malleable fittings
Power generators
Switch-gears
Steel wire

Chemicals & Allied Products

Reactive dyes
Disperse dyes
Acid dyes
Bat dyes
Nepthals
Phyto-chemicals
Caustic soda
Bichromates
Indian drugs
Drug intermediates
Medicinal herbs

Agarbatties
Dyes and dyes intermediates
Betaine
Lemon grass oil
Phenolphthalein
Saccharine
Stericids
Camphor products
Rubber
Rubber manufactured goods including tyres and tubes
Paints, varnishes and allied products
Glass and glassware
Ceramics and asbestos, cement products
Paper and paper products including books
Refractories and processed minerals
Plywood and allied products
Soaps, cosmetics and toiletary articles
Miscellaneous products including crushed bones and bone grist

Agricultural & Allied Products

HPS groundnut
Fresh fruits and vegetables such as bananas, mangoes, onions, potatoes and tomatos
Cashew
Guar gum
Gum, resins and lac
Tobacco
Cattle feed
Marine products (shrimps, prawns, froglegs etc.)
Shellac
Sonna leaves and pods
Opium crude
Spices
Plants and seeds for production of perfumes

Miscellaneous

Tea
Coffee
Finished leather
Readymade leather
Handicrafts (including hand-knotted woollen carpets)
Sports goods
Gems and jewellery
Feature films
Jute manufactures (hessian, carpet backing sacks etc.)
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LIST "B"

LIST OF PRODUCTS FOR EXPORT FROM ARGENTINA TO INDIA

Agricultural equipment and spare parts
Fishing vessels and freighters
Marine diesel engines (above 400 H.P.)
Machinery for Dairy, textile and leather industries
Electrical, electronics and measuring instruments
Electro-medical equipments
Equipments for cinematography
Railway equipment, diesel locomotives and railway wagons
Equipments for assaying metals
Bearings
Organic and inorganic chemicals
Non-ferrous metals
Machine tools and office and statistical machines
Medicinal and pharmaceutical products
Dye-stuffs
Finished chemical and pharmaceutical products
Grain raw wool
Tallow and animal and vegetable fats and oils
Quebrache extract
Hides and skins
Electrolytic copper wire bar
Zinc ingots
Lead ingots
Nickel
Tin